

have faced sustained scrutiny. Others like online commerce firm Meesho have recalibrated expectations pre-listing.

Samir Arora of Helios Capital points to the disconnect. “When a company positions itself as a new-age business—frequently loss-making and valued at steep revenue multiples—on the promise of 50–100% growth, investors are willing to support it,” he says. “But when post-listing guidance drops to 20%, it begins to resemble a traditional business.”

Assessments by financial services firms echo the recalibration. A report by IIFL projects Lenskart’s India business to grow at a compound annual growth rate (CAGR) of around 19% between FY25 and FY35—healthy, but reflective of a maturing curve.

Gaurav Sood, Managing Director and Head of Equity Capital Markets at Avendus, puts it plainly: “People have also understood that in a great market, any kind of IPO can get sold. But in the long run, there will be tests. Profitability is very important.”

“A company may turn profitable in one, two, or even three years, but investors need visibility that break-even and profitability are achievable in the foreseeable future—typically within the next one to three years,” Sood says. “What matters is whether the business is maturing towards a steady state.”

NARRATIVE V/S PERFORMANCE

Several cases show how projections alone don’t guarantee market success. Ola Electric, among the youngest start-ups to list, entered the markets on a strong Make in India positioning and optimistic growth assumptions. Yet in 2025, its market share more than halved to about 16%, down



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MARKETS AT AVENDUS



“For any business, the three essential metrics are growth, profitability, and governance. Yet, the rush to the IPO market is often driven less by these fundamentals”

PADMAJA RUPAREL
CO-FOUNDER, INDIAN
ANGEL NETWORK

from 36% in 2024, with revenue also declining.

In contrast, Ather Energy continued to gain ground, with market share rising to around 16–18%, overtaking Ola Electric during the year. While Ather did not turn profitable ahead of listing, its loss narrowed sharply to ₹812 crore in FY25 from ₹1,060 crore in FY24.

Post-listing performance ultimately hinges on execution, competitive dynamics and financial discipline, not narrative alone.

BIG PICTURE

Prashant Singhal, Partner and India Markets Leader at EY, says IPOs are expanding investor participation. An IPO, he says, allows Indian investors and funds to participate in growth that would otherwise remain confined to founders or private equity investors.

Siddharth Chandrashekhar, a lawyer at Bombay High Court who advises early-stage companies, says the moment a start-up seeks retail capital (from the primary market), the rules of the game change. Public markets do not fund ambition alone; they fund sustainability, predictability and efficient corporate governance. “We need start-up IPOs where the numbers in the Draft Red Herring Prospectus tell the same story before and after the bell rings,” he adds.

Investor trust remains fragile. While it is natural for start-ups to go public during their growth phase, a few missteps can quickly amplify scepticism and reshape sentiment around the ecosystem, which is the world’s third largest.

As the IPO wave gathers pace again, the market’s message is clear: valuations may open the doors, but only consistent profitability, governance and execution will decide who stays for the long haul. **BT**

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